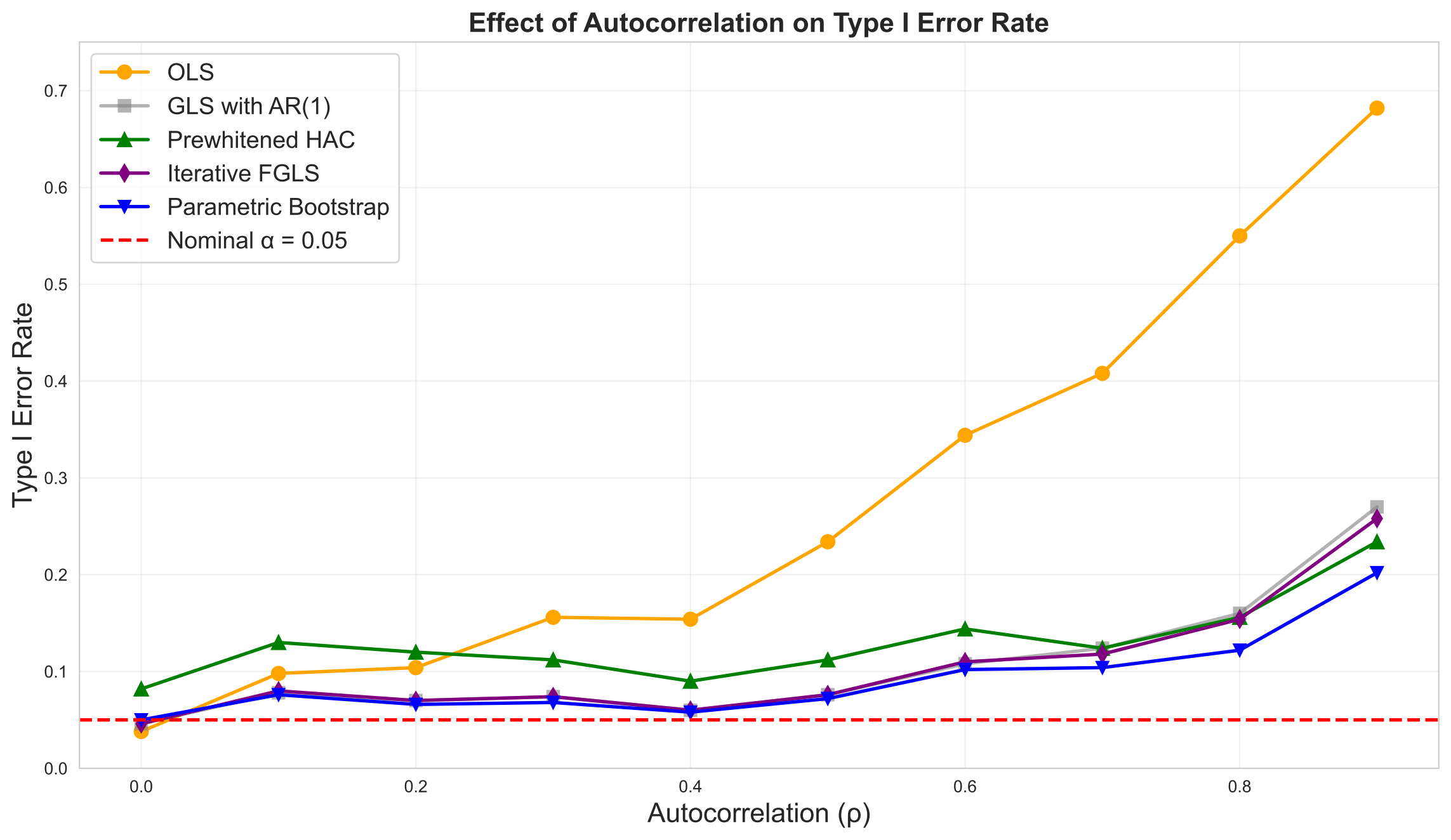
Effect of Autocorrelation on Type I Error Rate
OLS
GLS with AR(1)
Prewhitened HAC
Iterative FGLS
Parametric Bootstrap
Nominal α = 0.05
Type I Error Rate
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.0
0.2
0.4
0.6
0.8
Autocorrelation (ρ)